

GERMANY
2005

1. Overview of the tax-benefit system

The laws for modern services on the labour market (*Gesetze für moderne Dienstleistungen am Arbeitsmarkt*) reformed the welfare system of the Federal Republic of Germany in respect of unemployment. This involved the merging, as of 1st January 2005, of the former unemployment assistance and social assistance for persons who are able to work, to form a single basic jobseekers allowance (*Grundsicherung für Arbeitssuchende*). Social assistance was reformed as well, restricting eligibility to those who are unable to work.

1.1. Average wage (AW)¹

The average wage for 2005 is EUR 38 700.

2. Unemployment insurance

2.1 Conditions for receipt

Claimants have to be:

- Younger than 65 years of age.
- Registered unemployed.
- Looking and available for work.

Unemployment insurance is compulsory.

2.1.1 Employment conditions

A claimant must have worked at least 12 months to be eligible.

2.1.2 Contribution conditions

Contributions must have been made for at least 12 months in the last 3 years.

2.2 Calculation of benefit amount

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2004-2005, OECD, 2005, part 5, sections 2 and 3.

2.2.1 *Calculation of gross benefit*

The benefit is paid to the individual. The replacement rates are 60 per cent of their previous earnings net of tax and social security contributions (*Note: Net of tax means the monthly salary after deductions of corresponding taxes and contributions as in individual basis*), and 67 per cent for a worker with at least one dependent child. The monthly ceilings are 60 and 67 per cent of EUR 5.200 (west) and 4.400 (east) monthly gross earnings, respectively.

2.2.2 *Income and earnings disregards*

People earning less than EUR 400/month do not qualify for unemployment insurance contributions. People receiving UI can work up to 15 hours a week; working more stops all benefit entitlements. Income from any part-time work (less than 15 hours per week) reduces entitlement to unemployment benefit. Earnings up to EUR 165 are not taken into account. Other income or assets are not taken into account.

2.3 *Tax treatment of benefit and interaction with other benefits*

Unemployment insurance pays a net benefit: it is not taxable.

2.4 *Benefit duration*

There is no waiting period. The duration of payment depends on age and employment record according to the following table. Benefits are paid 7 days per week.

Contribution period (months)	Employment period (years)	Benefit payment duration (months)				
		Varying with age				
		Up to 45	45 and over	47 and over	52 and over	57 and over
12	3	6	6	6	6	6
16	7	8	8	8	8	8
20	7	10	10	10	10	10
24	7	12	12	12	12	12
28	7		14	14	14	14
32	7		16	16	16	16
36	7		18	18	18	18
40	7			20	20	20
44	7			22	22	22
48	7				24	24
52	7				26	26
56	7					28
60	7					30
64	7					32

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

No special treatment.

2.5.2 *Older workers*

Unemployed people may qualify for retirement at 60 years under the following conditions: they are born before 1952, have contributed for at least 15 years to the old age security system, have within the last 10 years an 8-year employment record and have been unemployed for 12 months within the last 18 after the age of 58 years and 6 months. The beginning of retirement in the age of 60 causes a reduction of the old age pension by 18 per cent.

Women have the right to a pension at age 60 if they are born before 1952, have an employment record after the age of 40 for at least 10 years and one month and have contributed at least 15 years to the old age security system. The beginning of retirement at the age of 60 causes a reduction of the old age pension by 18 per cent.

Anyone who has contributed for at least 35 years to the old age security system can retire at 63 years, the normal pension age is 65. The beginning of retirement at the age of 63 causes a reduction of the old age pension by 7.2 per cent.

Persons have the right to a pension at age 60 after a qualifying period of 35 years if they are registered as severely disabled, occupationally disabled or as an invalid when pension payments are due to begin. The beginning of retirement at the age of 60 causes a reduction of the old age pension by 10.8 per cent.

2.5.3 *Others if applicable*

3. *Unemployment assistance/social assistance*

As of 1st January 2005, unemployment assistance and social assistance for persons who are able to work were combined into one benefit, the basic jobseekers allowance (unemployment benefit II).

Unlike unemployment benefit, the basic jobseekers allowance is a tax-financed, needs-based and means-tested public welfare benefit.

3.1 *Conditions for receipt*

Prerequisites for receiving the basic jobseekers allowance:

- age between 15 up to but not including 65 years,
- able to work
- in need of aid
- usually resident in the Federal Republic of Germany

- foreign nationals also must have or be eligible to the permission to work.

Not only the person who has filed the application, but also those who live with this person in a need unit receive basic allowance benefits. Persons in need of aid who are able to work receive unemployment benefit II, those who are unable to work and live together with the unemployment benefit II recipient, receive social allowance. However, the basic elements of both benefits are similar.

3.1.1 *Employment conditions*

Persons who continue to be unemployed when their claim to unemployment benefit has expired or persons who are able to work and whose income is not sufficient to secure their own and their family's livelihood are eligible to unemployment benefit II.

3.1.2 *Contribution conditions*

3.2 **Calculation of benefit amount**

3.2.1 *Calculation of gross benefit*

Unemployment benefit II is made up of the following benefits:

- **Standard benefit** to secure the recipients' livelihood (covers the demand for food, personal care, household goods, everyday needs). It includes a lump-sum for non-recurring and recurring needs.

Standard lump-sum benefits (SLB) under unemployment benefit II/ social allowance				
	Single person or lone parent	Other members of a need unit		
		Children up to the completion of their 14 th year of life each	Children starting from their 15 th year of life up to the completion of their 18 th year of life each	Partners from the start of their 19 th year of life each
	100%	60% SLB	80% SLB	90% SLB
Old Federal Laender incl. Berlin (East)	345 Euro	207 Euro	276 Euro	311 Euro
New Federal Laender	331 Euro	199 Euro	265 Euro	298 Euro

The standard benefit is adjusted annually on 1st July in line with the current pension value of the statutory pension insurance system.

- **Additional needs allowances** for extra expenses not covered by the standard benefit
 - for expectant mothers from the 13th week of pregnancy
 - for lone parents depending on the age and number of children
 - for persons with disabilities
 - for expensive nutrition if demonstrably required for medical reasons
- **Housing and heating allowance** covering the actual expenses, if reasonable (see 5.2.b)
- **One-off benefits** for needs not covered by the standard benefit
 - initial flat furnishing including household appliances,
 - initial set of clothes incl. in case of pregnancy and childbirth
 - several days' school trips within school law provisions
- Insurance contributions towards the statutory health insurance, pensions insurance and long-term care insurance
- In addition, the transition from unemployment benefit to unemployment benefit II is cushioned by a **time-limited allowance** that is restricted to two years (payable only for recipients moving from UB to UBII). In the first year, it amounts to:
 - not more than 160 euros for single persons
 - not more than 320 euros overall for spouses/life partners not living separately
 - not more than 60 euros per child for underage children who live with the beneficiary
 - after the first year, the fixed-term allowance is reduced by half.
 - after the second year, the fixed-term allowance is suspended.

The time limited allowance is calculated as two thirds of the difference between the unemployment insurance benefit received most recently (ALG) including housing benefit and the entitlement on basic jobseekers allowance (ALG2, after taking account of any income and assets reducing this entitlement).

Government's statistical data reported total bill for these time-limited allowance of about 2 % of the total costs of the "standard benefits"

Generally, it must be borne in mind that regarded income and assets reduce the allowance.

Consequently, the basic allowance is composed of the following:

Standard basic rate for the head-of-household or persons living alone	
+	Standard rates for any other household members
+	Any extra allowances for additional needs
+	Rent and utilities

	Heating costs
=	Social assistance need
<i>minus</i>	
	Net income
=	Actual cost-of-living assistance to be paid

3.2.2 *Income and earnings disregards*

Other benefits are only counted towards the unemployment benefit II if they serve the same purpose, which is to secure the recipients' livelihood. Where the income serves another purpose, it will be disregarded if the beneficiary does not do so well out of these benefits that additional receipt of the unemployment benefit II is unreasonable.

Income is regarded if it serves the same purpose and the ceilings for extra income are exceeded.

Assets in excess of free amounts are regarded as well. .

3.3 *Tax treatment of benefit and interaction with other benefits*

not taxable

3.4 *Benefit duration*

Unemployment benefit II is granted for an indefinite period of time, if the eligibility criteria are permanently fulfilled.

To allow need for aid to be verified at reasonable intervals, the benefits are usually granted for six months.

3.5 *Treatment of particular groups*

3.5.1 Young persons

Young persons up to age 25 are particularly supported under the basic jobseekers allowance. They are immediately placed into jobs, training or a fixed-term opportunity to work with qualification possibilities.

3.5.2 Older workers

As in the case of unemployment benefit, older persons in need of aid can have themselves released from placement into jobs.

In addition, older persons in need of aid are subject to other free income ceilings: instead of 200 euros per year of life (not more than 13,000 euros), they have 520 euros per year of life (not more than 33,800 euros) disregarded for unemployment benefit II purposes.

3.5.3 Others if applicable

For pregnant women, lone parents, persons with disabilities and persons who need an expensive diet, an additional needs allowance is paid in addition to the standard benefit rate (cf 3.2.1)

Seniors over 65 and adults over 18 years who exhibit a permanent and comprehensive work incapacity in consequence of medical reasons are entitled to a special form of social assistance, the so-called “grundsicherung” (Chapter 4 of SGB XII, former “grundsicherungsgesetz”). The amount of this benefit is equal to assistance towards living expenses in chapter 3 of SGB XII. Unlike assistance towards living expenses, no recourse is made to children or parents if their annual income is under €100.000. It is generally granted for a year at a time and it has to be applied for.

4. Social assistance

Please see section 3

4.1 *Conditions for receipt*

4.2 *Calculation of benefit amount*

4.2.1 *Calculation of gross benefit*

4.2.2 *Income and earnings disregards*

4.3 *Tax treatment of benefit and interaction with other benefits*

4.4 *Benefit duration*

4.5 *Treatment of particular group*

4.5.1 *Young persons*

4.5.2 *Older workers*

4.5.3 *Others if applicable*

5. *Housing benefits*

5.1 *Conditions for receipt*

Anyone with low income and high rent or high financial obligations resulting from his/her own dwelling (i.e. owner occupied) may be eligible.

A person who receives basic jobseekers allowance is not eligible to rent allowance. The actual costs of housing and heating, if reasonable, are already included in the unemployment benefit II (cf 3 and 5.2b).

5.2 *Calculation of benefit amount*

a. Benefits under the Rent Allowance Act (Wohngeldgesetz)

Households are eligible to apply for housing allowances irrespective of the type of housing tenure in which they live. Hence owner-occupiers, private tenants and social housing tenants are all eligible.

Housing allowance is granted as a tabulated housing allowance. The housing allowance entitlement is calculated using a formula which has three parameters: size of household, eligible income, and eligible housing costs (rent or burden of financial obligations). This formula is then translated into tables for different sizes of household, which show how much allowance a household is entitled to receive for different levels of income and housing costs. The tables group income and rent in bands, so that within each income band and each housing cost band, households are entitled to the same amount of allowance.

$$HA = M - (a+b*M+c*Y) *Y \quad [\text{for } HA \geq \text{EUR } 10 \text{ otherwise } 0]$$

Where:

Household size (persons)	Parameters of the rent burden function			Monthly income (EUR)	
	a	b	c	Family Y	Maximum YX
1	6.3/100	7.963/10 00	9.102/100 0	120	830
2	5.7/100	5.761/10 00	6.431/100 0	150	1 140
3	5.5/100	5.176/10 00	3.250/100 0	200	1 390
4	4.7/100	3.945/10 00	2.325/100 0	250	1 830
5	4.2/100	3.483/10 00	2.151/100 0	290	2 100
6	3.7/100	3.269/10 00	1.519/100 0	320	2 370

“M” is the monthly rent or home loan repayment to be taken into account.

“Y” is the monthly income in euros.

Any values for “M” and “Y” which are below the values set out in the following table shall be replaced by the figures in the table.

Household size (persons)	M	Y
1	22.5	120
2	22.5	150
3	27.5	200
4	32.5	250
5	32.5	285
6	32.5	320
7	35	355
8	35	385
9	37.5	555
10	37.5	730
11	75	1 000
12	155	1 175

Note: Lump sum deductions on income are 6, 10, 20 and 30 per cent.

The calculation is carried out in a specified order and subject to strict rounding methods at various stages.

5.2.1 Calculation of gross benefit

The amount of tabulated housing benefits depends on the number of the persons in the household, the eligible income and the rent or burden of financial obligations (up to ceilings differentiated

according to regional rent level, quality and age of the dwelling, household size). The maximum rent levels used for the purposes of this study are given in the table below:

Household size (persons)	Maximum monthly rent* (EUR)
1	245
2	330
3	390
4	455
5	520
For each extra person	65

* Year of construction 1/1/1966-31/12/1991, level of rent: category III.

5.2.2 *Income and earnings disregards*

The housing benefit is linked to taxable income, to which numerous non-taxable income-components (with the exception of family benefits) are added, in order to approximate the net-household income as well as possible. For certain groups (*e.g.* households with disabled persons, lone-parents) free allowances are deducted from the imputed income.

b. Housing costs under the unemployment benefit II

Unemployment benefit recipients also qualify for a housing and heating allowance which covers the actual expenses, if reasonable. Reasonable housing costs are determined according to the circumstances of each individual case, particularly family size, the age, sex and state of health of the family members. Based on these individual data of the beneficiary and their relatives, the number of rooms, the local rent level and the possibilities of the local housing market must be evaluated.

The reasonable rent per square metre is determined based on the rent for comparable lower end flats at the place where the beneficiary lives and can be seen from the local representative rent list. Failing this, other reference measures must be used, such as the maximum rates stipulated in the Rent Allowance Act (*Wohngeldgesetz*) that differ according to household size, community rating and year in which the building was ready for use. However, it must be borne in mind that amounts higher than those stipulated in the Rent Allowance Act tend to be the local rule in major cities, tourist centres or near-city communities with more than 20,000 population.

The following would be average reasonable flat sizes:

1 person	ca. 45 – 50 sqm
2 persons	ca. 60 sqm or 2 rooms
3 persons	ca. 75 sqm or 3 rooms
4 persons	ca. 85 – 90 sqm or 4 rooms
plus ca. 10 sqm or one room for each additional family member.	

If the person in need of aid who is able to work, lives in a (reasonable) house of their own or condominium, housing costs include the liabilities involved (such as adequate mortgage interest, real property tax and other public charges, residential building insurance, ground rent, incidentals as in the case of rented flats, refuse collection fee, chimney sweep fee, street cleaning). Also regular expenses for

heating are to be covered. By contrast, redemption rates cannot be considered. Their purpose is capital formation, which is not compatible with that of a welfare benefit.

The following are upper limits of reasonable monthly housing expenses applied in the social office (“job centre”) in the city of Berlin which is considered as “typical” for Germany (“angemessene Brutto-Warmmieten”):

1-Person household 360 €

2-Person household 444 €

3-Person household 542 €

4-Person household 619 €

5-Person household 705 €

For each additional person 50€ per month.

Government’s statistical data reported average amounts of the full housing and heating benefits for unemployment II-recipients: Single person 2760, couple with two children 5280, single parent with two children 4440.

5.3 Tax treatment of benefit and interaction with other benefits

Recipients of unemployment benefit II receive benefits for housing and heating exclusively as specified in provisions of Social Code Book II (SGB II), additional benefits under the Rent Allowance Act are excluded.

5.4 Treatment of particular groups

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable*

6. Family benefits

Family benefits, known as *Kindergeld*, are awarded in the form of a monthly tax refund.

6.1.1 Family tax credit (Kindergeld)

The family tax credit is paid to all children up to age eighteen. The period during which the family tax credit is paid is prolonged up to the age of 27 for children undergoing training, and up to age 21 for children without a job. Should military or civilian service be done by the child during this period, the maximum age-limit is adjusted correspondingly. There is no age-limit for handicapped children who are unable to earn their living. Children over the age of 18 with an income of their own exceeding EUR 7 188 per year are generally not eligible for family allowance.

Family tax credit (non wastable) is not income-related and is awarded in the form of a monthly payment. It is staggered by the number of the children. The rates applying since 1 January 2002 are EUR 154/month for the first, second and third child, and EUR 179/month for the fourth and subsequent children.

The family tax credit is usually paid out by the local family office, otherwise by the private and public employers. The family tax credit is paid out to the person who cares for the children.

Also people in SA get the family allowance, but it is deducted from the SA until EUR 10 per month in the case of one child and EUR 20 in the case of two or more children.

6.1.2 Child-raising allowance (*Erziehungsgeld*)

Mothers or fathers who take care of their newly-born children themselves, receive a child-raising allowance of up to EUR 300/month till the end of the 24th month of life of the child. An alternative offer is the payment of a child-raising allowance in the form of a budget of up to EUR 450 per month until the child's first birthday. The mother or father receiving this benefit, is entitled to work up to 30 hours/week. The child-raising allowance is income-dependent. In the first six months after birth, they receive the full rate of EUR 300/month, if the annual net income does not exceed EUR 30 000 (married couples with one child) or EUR 23 000 (single parents). Parents who exceed this income ceiling, do not qualify for child-raising allowance. Child-raising allowance is gradually reduced from the child's seventh month of life onwards for parents who have an annual net income exceeding EUR 16 500 or EUR 13 500 in the case of single parents. For the budget of EUR 450/month the limit of annual net income is EUR 22 086 (married couples with one child) or EUR 19 086 (single parents). The income ceiling rises by EUR 3 140 with each additional child in the family. Child-raising allowance is generally reduced by the amount of maternity allowance paid to workers for the two months following childbirth.

6.1.3 Supplementary child allowance

Since 1st January 2005, parents whose income and property are sufficient to secure their own livelihood but not the maintenance of their children, can receive the so-called supplementary child allowance (*Kinderzuschlag*) on their behalf. The supplementary child allowance prevents parents from having to apply for unemployment benefit II/social welfare benefits (cf 3) only because of the maintenance of their children.

6.1.3.1 Calculation of gross benefit

Up to what income families qualify for the supplementary child allowance depends on the rent amount and the eligibility to so-called additional needs allowances (cf. 3.2.1). Higher reasonable rents or special additional needs allowances move the income bracket in which a supplementary child allowance can be paid, upwards, lower rents move it downwards.

The supplementary allowance can amount up to as much as 140 euros per month and child. The (overall) child supplementary allowance is paid for not longer than 36 calendar months altogether. If eligibility criteria are not consistently fulfilled, the month of last payment is deferred by the calendar months without eligibility to the supplementary child allowance.

6.2 Income and earnings disregards

a. Family tax credit (*Kindergeld*)

b. Supplementary child allowance

Both the income and assets of the child and the parents' income are regarded under certain prerequisites and, if appropriate, counted towards the claim to supplementary child allowance.

6.3 Tax treatment of benefit and interaction with other benefits

Supplementary child allowance and unemployment benefit II are mutually exclusive.

6.4 Treatment of particular groups

6.4.1 Young persons

6.4.2 Older workers

6.4.3 Others if applicable

7. Childcare for pre-school children

7.1 Out-of-pocket childcare fees paid by parents

Fees differ regionally, i.e. for each *Bundesland*. The fees in the following table are those for *Nordrhein-Westfalen (NRW)*, which country correspondents suggested could be taken as representative for Germany. Fees are **only paid for one child**, irrespective of the number of children per family in child care. There is **no price differentiation between full- and part-time care**, i.e. for the fee in the table a child can stay in care for as many hours as requested by the parents up to the maximum number of hours provided (see table).

Family income per year* in 2002 (in Euro)	Parents' fees (full-time = part-time) 2002 (in Euro)			
	<i>Kindergarten</i> (>3 – 6) at least 35 h/w provided	<i>Kindergarten über Mittag</i> (>3 – 6) at least 42,5 h/w provided, no food	<i>Krippen</i> (<3) at least 42,5 h/w provided	<i>Hort</i> (6 – 14, school children) 35 h/w provided
Up to 12 271 Euro	0 Euro	0 Euro	0 Euro	0 Euro
Up to 24 542 Euro	26,08 Euro	15,85 Euro	68,00 Euro	26,08 Euro
Up to 36 813 Euro	44,48 Euro	26,08 Euro	141,12 Euro	57,78 Euro
Up to 49 084 Euro	73,11 Euro	41,93 Euro	208,61 Euro	83,85 Euro

Up to	61 355 Euro	115,04 Euro	62,89 Euro	276,61 Euro	115,04 Euro
Over	61 355 Euro	151,34 Euro	83,85 Euro	312,91 Euro	151,34 Euro

Family income per year: Parents' gross income per year, less Werbungskosten, plus alimony payments, plus non-taxable income, plus government subsidies related to the subsistence of parents and children, less deductible amounts / basic untaxed amounts (Freibeträge) which the state foresees for the second and any further children.*

7.2 **Child-care benefits**

In Germany, general payments to subsidise or reduce the cost of child care do not exist. Day care and related services are offered on a lawful basis by local youth agencies, mostly funded by public means. Parents are asked to contribute according to their situation. Moreover, the cost for children up to the age of 14 years can be deducted as expenses from taxable income if they exceed 1,548 €. The maximum deduction is 1,500 € for jointly assessed spouses.

8. **Employment-conditional benefits**

8.1 **Conditions for receipt**

a. Since 1st January 2003, employees aged 50 and older receive the special wage protection for older employees (*Entgeltsicherung für ältere Arbeitnehmer* - section 421j Social Code Book III), if they end or prevent their being unemployed by taking up employment that is subject to social security contributions but with a net salary lower than that of their previous employment.

b.) Since 1st January 2005, work entry assistance (*Einstiegsgeld* – section 29 Social Code Book II) can be granted as a disregarded subsidy towards the unemployment benefit II, if a person in need of aid who is able to work takes up a dependent employment or self-employed activity in an effort to overcome neediness in the foreseeable future. If and how much work entry assistance will be granted is for the authority responsible for the basic jobseekers allowance to decide.

Please see also section 10.3.1 on reduced social security contributions.

8.2 **Calculation of benefit amount**

8.2.1 **Calculation of gross benefit**

a.) Half the difference between the net remuneration of the previous employment and that of the newly started employment is balanced by the job agency and paid out to the employee as a subsidy towards the remuneration. At the same time, the contributions to the statutory pensions insurance are topped up to 90% of the contributions paid in the previous employment.

b.) The amount of the work entry assistance can be individually determined on a case by case basis..

8.3 *Tax treatment of benefit and interaction with other benefits*

- a.) The special wage subsidies are exempt from taxes and contributions.

8.4 *Benefit duration*

- a.) The special wage subsidies for older employees are granted for as long as these would have qualified for unemployment benefit.
- b.) The work entry assistance can be granted for 24 months at the longest.

8.5 *Treatment of particular group*

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable*

9. *Lone-parent benefits*

Owing to their special life circumstances, recipients of unemployment benefit II who are lone parents, receive an additional needs allowance (cf. 3.2.1.).

Persons with resident underage children whom they raise and care for alone qualify for an additional needs allowance amounting to 36 per cent of the standard benefit due to the person concerned, if they live with one child under age seven or with two or more children under age 16, or 12 per cent of the standard benefit applicable for each child under section 20, if this works out to a higher percentage rate than under the first regulation, but not more than 60 per cent of the standard benefit for which the person concerned qualifies.

9.1 *Conditions for receipt*

9.2 *Calculation of benefit amount*

9.2.1 *Calculation of gross benefit*

9.2.2 *Income and earnings disregards*

9.3 *Tax treatment of benefit and interaction with other benefits*

9.4 *Benefit duration*

9.5 *Treatment of particular group*

9.5.1 *Young persons*

9.5.2 *Older workers*

9.5.3 *Others if applicable*

10. *Tax system*

10.1 *Income tax*

10.1.1 *Tax allowances and credits*

Standard reliefs and work-related expenses:

- Basic reliefs: none.
- *Standard marital status reliefs:* in the case of joint assessment, specific allowances are doubled. Income tax according to the schedule is computed by the income splitting method.
- *Relief(s) for children:* tax credit of EUR 1 848 for the first, second and third child, EUR 2 148 for the fourth and subsequent children. In cases where the value of the tax credit is less than the relief from the tax allowances (EUR 1 824 for the subsistence of a child and additionally EUR 1 080 for minding and education or training needs [EUR 3 648 and EUR 2 160 in the case of jointly assessed married couples]), the tax allowances are used instead to compute the income tax in the tax assessment.
- *Relief for lone parents:* allowance of EUR 1308 (household allowance) for taxpayers who live alone with at least one child for whom they receive tax allowances or a tax credit.
- *Reliefs for social security contributions and life insurance contributions:* social security contributions and other expenses incurred in provision for the future (*e.g.* life insurance), are deductible up to specific ceilings.

The calculation of the latter relief proceeds in three steps. First, EUR 3 068/6 136 (singles/couples) are deductible. These amounts are, however, lowered by 16 per cent of gross wage (serving as a proxy for employers' social security contributions). This provision is meant as a partial compensation for the self-employed, who do not receive tax-free employers' contributions to social security. Second, the remaining expenses are deductible up to EUR 1 334/2 668 (singles/couples). Third, half of the remaining expenses are deductible up to EUR 667/1 334 (singles/couples).

- *Work-related expenses*: EUR 920 lump-sum allowance per gainfully-employed person.
- *Special expenses*: lump sum allowance (EUR 36/72 [singles/couples]) for special expenses, e.g. for tax accountancy or disbursed church taxes. When the taxpayer proves that his expenses are higher, they are fully deductible.

10.1.2 *Income tax schedule*

The German tax schedule is formula-based.

The calculations are based on a rounded amount of taxable income. If the taxable income cannot be divided by 36 it is rounded down to the next (full EUR) amount which can be divided by 36. Subsequently it is increased by EUR 18.

- X is the taxable income.
- T is the income tax liability.
- In addition the following definition is used in the income tax liability formulae:

$$Y = \frac{X - 7\,664}{10\,000}$$

$$Z = \frac{X - 12\,739}{10\,000}$$

The income tax liability (amounts in EUR) is calculated as follows:

1. $T = 0$ for $X \leq 7\,664$
2. $T = (883.74Y + 1\,500Y)$ for $7\,665 \leq X \leq 12\,739$
3. $T = (228.74Z + 2\,397)Z + 989$ for $12\,740 \leq X \leq 52\,151$
4. $T = 0.42X - 7\,914$ for $52\,152 \leq X$

These formulae are used directly to calculate the income tax of single individuals.

The income tax liability for spouses who are assessed jointly is computed as follows: the formula income tax is calculated with respect to one-half of the joint taxable income. The resulting amount is doubled to arrive at the income tax liability of the spouses (splitting method).

Solidarity surcharge:

The solidarity surcharge is levied at 5,5 % of the income tax liability, when this liability exceeds an exemption limit of EUR 972/1 944 (singles/couples). Once the income tax liability exceeds the exemption limit, the solidarity surcharge is phased in at a higher rate of 20 per cent of the difference

between the income tax liability and the exemption limit till such time that it equals 5.5 per cent of the total liability.

10.1.3 State and local income taxes

None

10.2 Treatment of family income

Spouses are normally assessed jointly. They have, however, the option of being separately assessed. The income of dependent children is not assessable with that of the parents.

10.3 Social security contribution schedule

10.3.1. Employee' contributions

Employees pay full social security contributions if their annual earnings are greater than EUR 9 600. On earnings up to EUR 4 800, no contributions are made and the contributions are fully phased in between EUR 4 800 and EUR 9 600.

10.3.11. Pensions

9.75 per cent of gross wage earnings, or not more than 9.75 per cent of the insurable ceiling of EUR 62 400.

10.3.12. Sickness

On average 7.0 per cent (estimate) of gross wage earnings, or not more than 7.2 per cent of the insurable ceiling of EUR 42 300.

10.3.13. Unemployment

3.25 per cent of gross wage earnings, or not more than 3.25 per cent of the insurable ceiling of EUR 62 400.

10.3.14 Care

0.85 per cent of gross wage earnings, or not more than 0.85 per cent of the insurable ceiling of EUR 42 300.

10.3.15. Work injury

Employer only.

10.3.16. *Family allowances*

None.

10.3.17. *Others*

None.

10.4 *Treatment of particular group*

10.4.1 *Young persons*

10.4.2 *Older workers*

10.4.3 *Others if applicable*

11. *Part-time work*

11.1 *Benefit rules for part-time work*

People earning less than EUR 400/month do not qualify for unemployment insurance. People receiving UI can work less than 15 hours/week; working more destroys all benefit entitlements (see Section 2.2.2).

11.2 *Special tax and social security contribution rules for part-time work*

- For earnings up to EUR 400/month the employer pays 25% contribution (12% pension insurance, 11% health insurance, 2% tax). For part-time work in private households the employer's contribution is 12% (5% health and pension insurance, 2% tax). Furthermore the part-time worker has the option to increase the contribution for full entitlement to pension insurance.
- People earning between EUR 400,01 and EUR 800 per month pay contributions increasing by arithmetic progression from 4% to full employee's contribution to all branches of social insurance with full insurance benefits. The employer pays full employer's contribution.

12. *Policy developments*

12.1 *Policy changes introduced during the previous year*

From 1 January 2005 the final stage of tax reform 2000 came into effect. The bottom and top rates of income tax were further reduced to historical lows of 15 % and 42 %. Since 1998 both the bottom and top rate of income tax have been reduced by about 11 percentage points while the personal allowance has been raised from € 6,322 to € 7,664. The tax cuts reduce the tax charge on all payers of income tax, affording the greatest relief to employees and families with low and medium incomes as well as small and medium-size unincorporated businesses. This sends a powerful growth signal to consumers and investors

which, in turn boosts domestic growth in particular, promotes job creation and increases the incentives to take up legal employment.

On 1 January 2005 the law regulating the taxation of pensions and pension expenses entered into force. With the adoption of the law the German parliament followed the government's proposal of a fundamental reorganisation of the taxation of pensions. The law provides a gradual transition to ex post taxation of pensions paid by the statutory pensions insurance, which will ensure during working life and afterwards that is evenly spread, constitutional and fair to both generations. In the long run, the tax treatment of capital-based employee pension schemes based on a contract between the employer and the employee will be reformed in the same way as the tax treatment in respect of the state pension scheme. In addition to the increased deductibility of contributions to the state and certain private pension schemes, the law contains rules which are intended to increase the attractiveness of private capital-based pension schemes to encourage individuals to invest privately in respect of their old-age pension provision.

12.2 *Policy changes announced*

In an effort to provide the recipients of unemployment benefit II with additional incentives to work, the Bundestag adopted, on 3rd June 2005, a Law Reforming Free Amounts (*Freibetragsneuregelungsgesetz*), which seeks to further improve their possibilities to earn an extra income. It stipulates that recipients of unemployment benefit II may keep a larger part of their above subsistence level income.

Subject to the Bundesrat's consent to the Law, the amendments are due to become effective on 1st October 2005.

ANNEX

Proposed addition to country note to facilitate future updates of the tax/benefit model

$$HA = M - (a+b*M+c*Y) * Y \quad [\text{for } HA \geq \text{EUR } 10 \text{ otherwise } 0]$$

Household size (persons)	Parameters of the rent burden function			Income (EUR)	
	a	b	c	Family Y	Maximum YX
1	6.3/100	7.963/10 000	9.102/100 000	120	830
2	5.7/100	5.761/10 000	6.431/100 000	150	1 140
3	5.5/100	5.176/10 000	3.250/100 000	200	1 390
4	4.7/100	3.945/10 000	2.325/100 000	250	1 830
5	4.2/100	3.483/10 000	2.151/100 000	290	2 100
6	3.7/100	3.269/10 000	1.519/100 000	320	2 370

1.year of construction 1/1/1966-31/12/1991, level of rent: category III.

Note: Lump sum deductions on income are: 6, 10, 20 and 30 per cent.

Rules for calculating procedures and rounding (Annex 2 Housing Benefit Act):

To determine the housing benefit it is indispensable to follow the steps of calculation in the exact order.

1. “M” is the rounded monthly rent or home loan repayment to be taken into account (second sentence of Section 2 (1) of the Housing Benefit Act). When converting (“M*”) to “M”, i.e. the unrounded monthly rent or home loan repayment to be taken into consideration for the purposes of Sections 7 and 8 of the Act, the following shall apply:
Where “M*” is less than or equal to 50, “M*” is rounded upward to the next higher full amount in euros that can be divided by 5 without leaving a remainder, provided “M” cannot simply be divided by 5 without leaving a remainder. If “M*” can be divided by 5 without leaving a remainder, “M*” is not changed. 2.5 euros must be subtracted from the resulting amount in all cases.
Where “M*” is greater than 50, “M*” is rounded upward to the next higher full amount in euros that can be divided by 10 without leaving a remainder, provided “M*” cannot simply be divided by

10 without leaving a remainder. If “M*” can be divided by 10 without leaving a remainder, “M*” is not changed. Five euros must be subtracted from the resulting amount in all cases.

2. “Y” is the rounded monthly income in euros (third sentence of section 2 (1) of the Act). “Y” is determined by rounding “Y*” upward to the next higher full amount in euros that can be divided by 10 without leaving a remainder, provided it cannot simply be divided by 10 without leaving a remainder. If “Y*” can be divided by 10 without leaving a remainder, “Y*” is not changed. Five euros must be subtracted from the resulting amount in all cases.
3. Any values for “M” and “Y” which are below the values set out in the following table shall be replaced by the figures in the table:

	1-person household	2-person household	3-person household	4-person household	5-person household	6-person household
M	22.5	22.5	27.5	32.5	32.5	32.5
Y	120	150	200	250	285	320
	7-person household	8-person household	9-person household	10-person household	11-person household	12-person household
M	35	35	37.5	37.5	75	155
Y	355	385	555	730	1000	1175

4. The unrounded monthly rent or home-ownership subsidy is obtained by putting the values for “a”, “b”, “c” (Annex 1) and for “M” and “Y” into the formula set out in the first sentence of Section 2 (1) and by carrying out the following three calculations:

Calculation of the decimal numbers

$$z1 = a + b \cdot M + c \cdot Y,$$

$$z2 = z1 \cdot Y,$$

$$z3 = M - z2$$

In carrying out this calculation, the decimal numbers must be calculated as fixed decimal point numbers to ten decimal places.

5. This unrounded monthly rent or home-ownership subsidy must be rounded upward to the next higher full amount in euros if the remaining amount in cents without rounding is greater than or equal to 50; it must be rounded downward to the next lower full amount in euros if the remaining amount in cents without rounding is less than 50.